WARRANTY ATLAS · Louisiana (LA)

Law last amended: 2021 (eff. 2021-08-01) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-10-19

Cites: La. R.S. 32:1262(A); La. R.S. 32:1262(B); La. R.S. 32:1258; La. R.S. 32:1259; La. R.S. 32:1260

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 32:1262(A)(3)
Mfr-backed service contract	**Not addressed**	-	§ 32:1261(A)(1)(w)(i) (anti-coercion only)
CPO warranty	**Required**	Factory time (reasonable/adequate standard where stated)	§ 32:1262(A)(1)(a); 'warranty work' at (A)(1)(f)
Independent service contract	**Not addressed**	-	§ 32:1262(A)(8)(i) (excluded from rate calculation only)

Hourly rate: Not less than rates charged to retail customers for 'non-warranty qualifying repairs', meaning repairs of the kind the original new-vehicle warranty covers but on vehicles past its time or mileage limits. Labor rate = total labor charges ÷ hours, from all ROs containing 100 sequential qualifying ROs or all ROs in 90 consecutive days, whichever gives fewer, within 180 days. Presumed accurate; effective 45 days after receipt unless rebutted. At most once per 12 months. Protest…

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: no rule in statute. Written notice of the grounds for disapproval ((A)(14)). No denial based solely on an incidental failure to meet a claim-processing requirement, a clerical error or an administrative technicality ((B)(3))	R.S. 32:1262(A)(14)
Payment	30 days after approval. Dealer filing deadline: No claim may be rejected as late if submitted within 60 days of the date the RO was written (B)(7).	
Chargebacks	12 months; fraud: Limits are not effective for intentionally false or fraudulent claims…. A paid claim may be charged back only if false or fraudulent, not properly made, unnecessary under accepted workmanship standards, or not reasonably substantiated under reasonable written requirements notified before the claim arose (B)(2). No chargeback wher…	R.S. 32:1262(B)(1)
Rate resubmission	Once in a twelve-month period (parts markup, labor rate, or both). Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Discounted / promotional, Other (see text), Internal, Routine maintenance, Accessories, Tires, Alignments, Prep / reconditioning, State inspections, Government, Insurance-paid, Service-contract paid, Goodwill, Collision / body / glass.	R.S. 32:1262(A)(4)
Mfr response	45 days; no response = approved: Yes. Challenge: Reasonably substantiate that the submission is materially inaccurate. The rebuttal needs a full explanation, evidence validating each reason, a copy of all calculations, and a proposed adjusted rate based on the dealer's qualifying ROs Forum: Protest to the Louisiana Motor Vehicle Commission within 60 days of r….	R.S. 32:1262(A)(9)(a)
Penalties	LMVC protest for rate disputes ((A)(11)); the LMVC may award costs (R.S. 32:1260(C)). No express private damages action in §§ 1258-1262 Civil penalty up to $5,000 per day of violation, $10,000 per day for subsequent violations (R.S. 32:1260(A)). License denial, suspension or revocation for failure to comply with the chapter (R.S. 32:12…	La. R.S. 32:1258, 32:1259, 32:1260
Audit procedures	Audit climate score 33/100 (Elevated restrictiveness; chargeback limits 27/75 + process and oversight 6/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: No more than 2 sales-related and 2 service-relate…; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure.	

Statute quotes

Claims *(R.S. 32:1262(A)(14)): "shall be paid within thirty days after approval and shall be approved or disapproved within thirty days after receipt. When any claim is disapproved, the dealer shall be notified in writing of the grounds for disapproval."*
Chargebacks *(R.S. 32:1262(B)(1)): "Any audit for warranty parts or service compensation shall be for the twelve-month period immediately following the date of the payment of the claim by the manufacturer or distributor."*
Rate *(R.S. 32:1262(A)(4)): "All consecutive repair orders that include one hundred sequential qualifying repair orders. (ii) All repair orders closed during any period of ninety consecutive days. … shall submit the option that produces the fewer number of repair orders"*
Factory time *(§ 32:1262(A)(3)): "Time allowances for the performance of warranty work shall be reasonable and adequate in relation to the nature and scope of the work for a qualified technician of ordinary skill to perform the work."*

Notes

'Warranty' expressly includes a new-vehicle warranty, a recall, or a CERTIFIED PRE-OWNED warranty ((A)(1)(a)). The rate floor keys to retail 'non-warranty qualifying repairs'. Time allowances must be 'reasonable and adequate' for a qualified technician of ordinary skill ((A)(3)). Free or reduced-cost parts earn the dealer's markup ((A)(12)). No unduly burdensome method may be required ((A)(13)). § 1262 does not apply to marine products, motorcycles, ATVs or RVs ((C)). (A) obligations for recreational products may be modified by contract ((A)(15)).

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